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New Mandate: SEBI's Digital Assurance

6X SCRUTINY.

What it means. Why it matters.

An inflexion point for financial governance in India's top listed companies

The Securities and Exchange Board of India (SEBI) released a draft circular on 3rd February 2025 that signals a paradigm shift in corporate financial reporting. This move targets India's top 100 listed entities by market capitalisation, setting new expectations for transparency and trust in capital markets.

As per the draft Circular, effective from the upcoming FY, SEBI will require **the top 100 listed companies in India (based on market capitalisation)** to not only share financial statements but also submit a separate **Digital Assurance Report**- a powerful validation mechanism cross-verifying financial data with government sources like GSTN, Income Tax, EPFO, and RBI trade portals.

Gone are the days when auditors relied solely on internal records. Now, companies must ensure their reported numbers **match what the government already has**.



Why Enterprises Aren't Ready: Current Compliance Gaps

Despite advancements, many enterprises still face significant gaps in compliance systems. Traditional **legacy systems** and **manual processes** make it difficult to reconcile internal financial data with **external digital repositories** (e.g., GST, TDS).

Fragmented data across departments and regions complicates consistent financial reporting. On the other hand, **a reactive approach** to compliance, where external data is only consulted when issues arise, leaves companies vulnerable to discrepancies.

Additionally, companies often lack clear **ownership** in addressing data differences, which is now required by SEBI. These gaps highlight the need for **advanced, integrated systems** to ensure real-time reconciliation and proactive compliance under the new digital assurance framework.

The Anatomy of Digital Assurance: Why is it 6x more scrutiny?

SEBI's proposed framework introduces a fundamentally new construct for financial reporting, one that is anchored in externally verifiable digital evidence rather than internal records alone. At its core, the framework rests on two mandatory deliverables.

1. Management Responsibility Statement

A signed confirmation that financial records are complete, accurate, and consistent with data on government portals.

2. Digital Assurance Report by Statutory Auditors

Verified against data pulled from:

- **GST Portal:** Revenue, GST liability, tax collected
- **TRACES (TDS/TCS):** Expense validation, tax deductions
- **AIS/26AS (Income Tax Portal):** Income, interest, contract receipts
- **EPFO Portal:** Payroll contributions matching employee costs
- **EDPMS (Export Data Processing & Monitoring System):**
RBI Export receivables as per banks vs revenue booked
- **IDPMS (Import Data Processing & Monitoring System):**
RBI Import payables vs purchases/liabilities in books

These aren't secondary checkpoints. They are now primary sources of audit evidence, requiring reconciliation with the books and direct explanations from management where discrepancies arise.

SEBI is aligning financial reporting with government-held digital records to ensure published results are independently verifiable, not self-declared. For top listed companies, consistency between books and statutory portals is now a regulatory expectation tied directly to market trust. Any unreconciled variance will require management explanation and will surface explicitly in the Digital Assurance Report.

Non-compliance with SEBI digital Assurance results in:

- Monetary fine of ₹5,000 per day
- Suspension of trading (In cases of repeated or severe non-compliance)
- Loss of investor trust
- Adverse impact on market reputation
- Stock price fluctuation



Why This Mandate Resets the Compliance Playbook



External Data Becomes Audit Bedrock

Your GST returns, TDS reporting, import/export filings, and payroll data are now central to financial reporting. Differences are not just tax compliance issues, but financial reporting risks.



Management Must Explain Every Variance

Any mismatch between internal books and external digital records must be owned and justified by the management in the Digital Assurance Report. This marks a decisive shift in audit accountability.



Compliance Timeline is Tight

The reporting deadline: **31st July** of the year following the applicable FY. Compliance readiness must begin on time.



Investor Confidence Meets Regulator Surveillance

Digital assurance isn't just about audits. It's an investor protection mechanism. By validating reported numbers with what the government already knows, SEBI aims to make financial fraud virtually detectable by design.

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Strategic Compliance Needs Strategic Tech

As compliance becomes digital-first and evidence-led, companies need more than ERP upgrades. They need purpose-built solutions that integrate with existing systems and automatically reconcile, validate, and document their compliance posture in real time.

Clear Finance Cloud is built for this new era of always-on compliance!

Core Capabilities

- **GL Reconciliations:** Match revenue, ITC, and taxes across books and GST data
- **TDS Workbench:** Reconcile expenses, TDS payable, and vendor balances with TRACES
- **AIS/26AS Sync:** Validate income, interest, and tax credits with the Income Tax portal
- **Books-to-Govt. Mapping:** Auto-map ledger entries with external data for real-time alerts

These aren't just tax tools. They are now a **strategic infrastructure** for CFOs and audit committees, enabling them to deliver clean Digital Assurance Reports.

The result? Reduced audit risk, accelerated closes, and confidence that your numbers won't get flagged by your auditor or by SEBI.

The Much-needed Action

SEBI's draft circular does more than update audit formats. It fundamentally reshapes how trust is built in financial statements. For forward-looking leaders, this is an opportunity to invest in continuous compliance and data-driven governance.

Now is the time to move from reactive reconciliations to proactive validation- **from audit support to audit strategy.**

Get Clear; Stay shielded against

6x stricter scrutiny

Get started